CHAPTER 16

COMPARATIVE DEVELOPMENT EXPERIENCES

CHAPTER ESSENCE AT A GLANCE:
Compare Asian neighbors: India, Pakistan, and China development strategies, China Great Leap Forward and One Child Policy, GDP growth trajectories, and Human Development Index (HDI) rankings.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

- **Common Development Starting Points:** India and Pakistan gained independence in 1947, People's Republic of China established in 1949; all three adopted state-led five-year planning models with huge public sectors.
- **China Command Reforms: GLF & Communes:** Great Leap Forward (1958) initiated mass rural industrialization; Great Proletarian Cultural Revolution (1966); early introduction of structural market reforms in 1978 under Deng Xiaoping.
- **Pakistan's Dual Economy Instability:** Nationalization in 1970s followed by denationalization in 1980s; volatile agricultural harvests, heavy reliance on foreign aid and remittances from Middle East without building manufacturing depth.
- **Comparative Human Development Outcomes:** China vastly outpaces India and Pakistan in GDP growth, extreme poverty elimination, life expectancy, and HDI rank, driven by universal basic education and public health investments.

ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{Human Development Index (HDI)} = \sqrt[3]{\text{Life Expectancy Index} \times \text{Education Index} \times \text{Income Index}}$$

UNDP Multi-Dimensional Human Development Metric

$$\text{Reform Onset Timeline} \iff \text{China (1978)} \overset{\text{Preceded by 13 Years}}{\longrightarrow} \text{India (1991)} \quad \text{vs} \quad \text{Pakistan (1988)}$$

Comparative Economic Policy Reform Sequence

$$\text{Demographic Dynamics} \iff \text{China One-Child Policy (1979)} \rightarrow \text{Rapid Fertility Drop} \rightarrow \text{Aging Society}$$

Chinese Demographic Intervention Model

$$\text{Sectoral Shift Pipeline} \iff \text{Agriculture} \overset{\text{Traditional}}{\longrightarrow} \text{Manufacturing (China)} \quad \text{vs} \quad \text{Services (India)}$$

Comparative Structural Transformation Trajectory

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

- **Alert:** China introduced economic market reforms in 1978, 13 years before India's 1991 reforms, giving it a massive early-mover industrial head start.
- **Alert:** China's rapid structural transformation shifted labor directly from agriculture into manufacturing; India's structural transformation largely bypassed manufacturing, shifting into the service sector.
- **Alert:** China's One-Child Policy successfully halted population growth but created a major demographic crisis: an aging population with a shrinking youthful workforce.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State any two common development strategies adopted by India, Pakistan, and China at the start of their development paths. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Strategy 1:** All three nations adopted centralized economic planning through Five-Year Plans (India in 1951, China in 1953, Pakistan in 1956). [1 Mark]

• **Strategy 2:** All three relied heavily on the public sector to build basic heavy infrastructure and adopted inward-looking import substitution policies. [1 Mark]

2. What was the Great Leap Forward (GLF) campaign in China? State its primary objective. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** An economic campaign launched by Mao Zedong in 1958 aimed at transforming agrarian China into a modern industrialized nation rapidly. [1 Mark]

• **Objective:** Encouraged people to set up backyard steel furnaces in rural communities and organized agriculture into collective Communes. [1 Mark]

3. Explain the major features of the Economic Reforms introduced by China in 1978. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Two-Phase Reform:** Initial phase introduced in agriculture (commune land divided into household responsibility plots); second phase opened industrial manufacturing to private and foreign investment. [1 Mark]

• **Dual Pricing System:** Farmers and firms bought or sold fixed quotas at state-fixed prices, but sold all surplus output at market-determined prices. [1 Mark]

• **Special Economic Zones (SEZs):** Established coastal economic enclaves offering zero taxes and world-class infrastructure to attract foreign direct investment. [1 Mark]

4. What was China's One-Child Policy? State one positive and one negative consequence. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Policy:** Introduced in 1979 to control massive population growth, legally restricting urban families to strictly one child. [1 Mark]

• **Positive Consequence:** Successfully arrested explosive population growth, allowing higher per capita investment in education and health. [1 Mark]

• **Negative Consequence:** Created a skewed sex ratio and an alarming aging population where fewer young workers must support elderly parents. [1 Mark]

5. Compare the sectoral structural transformation of GDP and workforce in China versus India. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **China's Trajectory:** Classical development path where labor and GDP shifted from agriculture into manufacturing (China became the 'Factory of the World'), followed by services. [1.5 Marks]

• **India's Trajectory:** Skipped the manufacturing-intensive phase; GDP shifted directly from agriculture into the service sector, while nearly 45 percent of workforce remains trapped in low-income agriculture. [1.5 Marks]

6. Evaluate the reasons for Pakistan's slow economic growth and political instability compared to India and China. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Political Instability:** Frequent changes between military rule and civilian governance preventing consistent long-term economic policies. [1 Mark]

• **Over-Reliance on Foreign Aid:** Relied heavily on Western foreign aid and Middle Eastern worker remittances rather than building domestic manufacturing depth. [1 Mark]

• **Neglect of Human Capital:** Low investment in primary education, female literacy, and healthcare, resulting in weak human development indicators. [1 Mark]

7. Compare the performance of India, Pakistan, and China on key Human Development Indicators: HDI Rank, Life Expectancy, Infant Mortality Rate, and Maternal Mortality. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **HDI Rank:** China ranks significantly higher (in the 'High Human Development' category) compared to India and Pakistan (both in 'Medium Human Development' category). **[1 Mark]**

• **Life Expectancy at Birth:** China leads with over 78 years, compared to around 67 years in India and 66 years in Pakistan. **[1 Mark]**

• **Infant Mortality Rate (IMR):** China has achieved a very low IMR (under 8 per 1,000 live births), whereas India (around 28) and Pakistan (around 55) lag far behind. **[1 Mark]**

• **Maternal Mortality Rate:** China has drastically reduced maternal deaths during childbirth, driven by universal access to institutional public healthcare. **[1 Mark]**